

can borrow from it at any time. This could also include student loans, which you do not have to repay until graduation.

The ratings are:

R1 = Pays within 30 days

R2 = Pays 30–60 days; or one late payment

R3 = Pays 60–90 days; or two late payments

R4 = Pays 90–120 days; or three or more late payments

R5 = Account is 120 days past due

R7 = Paid through a credit counseling or debt management program

R8 = Repossessed

R9 = Collection or bankruptcy or bad debt

There is a rating of R0 that indicates an account is new and not yet used. There is not an R6 rating.

Out with the Old

One thing that is different in Canada versus the United States is the length of time that an item stays on the credit report. In the US, the length of reporting is consistent across the nation and the credit reporting agencies. In Canada, it depends upon who your credit reporting agency is and that depends upon where you live.

If you think an old negative item should have dropped off your credit report, and it is still hanging on, check the chart first. The length of time is different depending upon the type of item and your territory. For example, bankruptcy will stay on your credit report for six years if you live in British Columbia, but seven years if you live in Ontario. No one ever said life was fair, or that money matters made sense. If the time has in fact expired and the item should be removed, then you should contact your credit reporting agency.

The chart on the following page is from the Financial Consumer Agency of Canada: